Israel McDonald

Dan Peters

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Basic Income, AI, and the Future of the Working Class

In January of 2010, a report by the *Washington Post* showed that despite nearly a century of consistent growth in the US job market by at least 20% a decade, the period from 2000-2010 showed total stagnation; not a single new job was created to meet the one million new workers that needed them (Ford xi). A combination of automation and job offshoring has led to a job crisis in the United States, further compounded by the 2008 Recession and the Coronavirus Pandemic. Grimly, the situation looks not only to be declining, but set to start plummeting. Experts agree that within the next 20-30 years, nearly half of the world's jobs will be subject to replacement and deflation by AI (Nedelkoska and Quintini). If these experts are correct, then the working classes worldwide are poised to experience chronic joblessness and a complete lack of middle-class work, which will exacerbate an already problematic wealth divide and even possibly lead to a so-called "techno-feudalism". This has naturally left everyone looking for solutions and answers to the growing threat, one idea of which has risen rapidly in popularity due to wide support by notables all across the political spectrum of ideology: Guaranteed Minimum or Universal Basic Income. A Guaranteed Minimum Income (GMI), with means-testing starting at the lower threshold of middle-class status, would be an effective remedy for large scale poverty and unemployment in the United States because it would have more benefits and be less harmful than traditional welfare models, it would provide a robust framework for community

incentive programs funded at the state and local level, and it would shift the national balance of power back towards the working class.

One of GMI's biggest advantages is its clear upper hand over the traditional welfare model, including its resistance to poverty traps. Elizabeth Dickey explains how social security disability payments reduce at about 50% the rate of your increase in paycheck income, with only $65/month of padding before this means-testing starts to apply, meaning there is a significant dead zone in income increases for those on SSI within the $11,000 - $20,000 income range. The upper limit of most disability assistance payments, $20,000, is over $12,000 per year deficit from the average cost of simply surviving in relative dignity in the US according to the Bureau of Labor Statistics, and that doesn't even factor the loss of healthcare benefits, which the BLS prices at about an additional

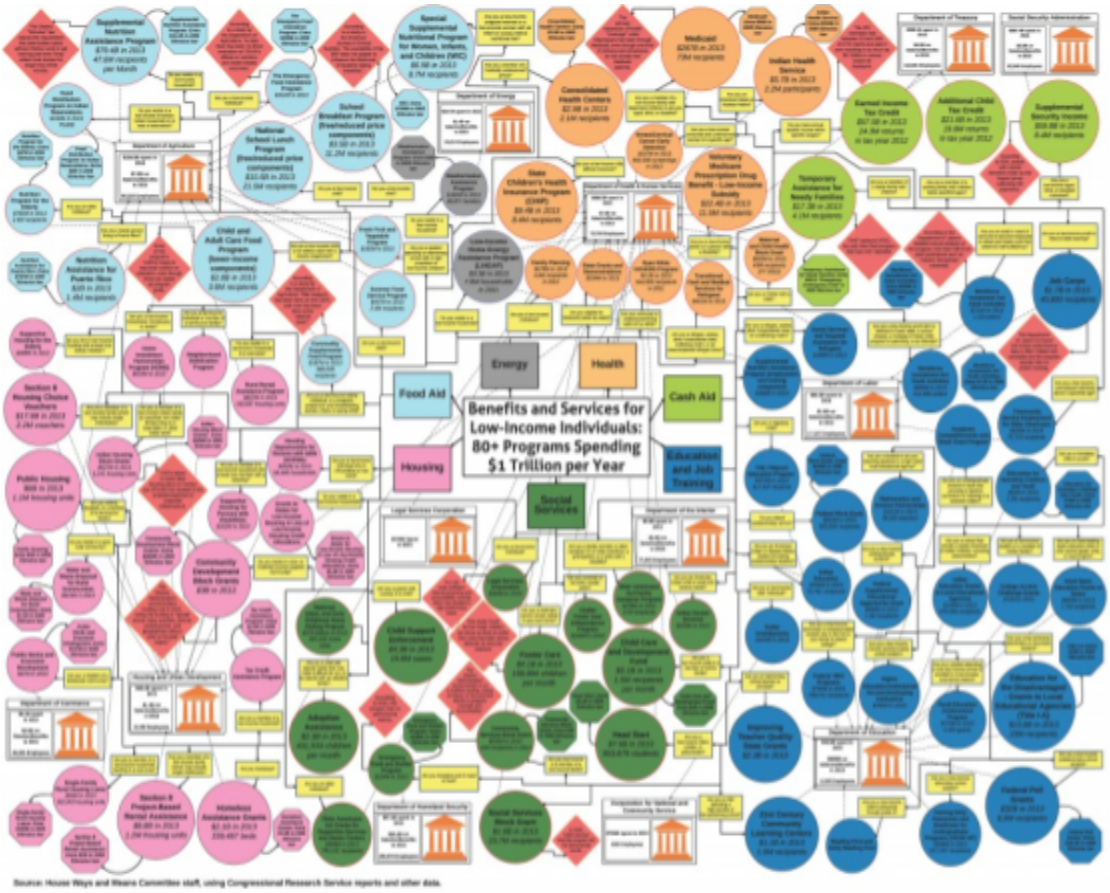


Figure 1: A chart visualizing the different services and benefits for low income US citizens. Image courtesy of the Ways and Means Committee of the United States House of

$2,600 yearly (Vilorio). This leads to the behavior that Martin Ford describes, “virtually no one who gets into the program ever works again,” (262). Placing the level at which means-testing begins to apply well into the realm of comfortable living would negate this problem, placing the deadline of income increase into a region where it is nowhere near as significant, and therefore far less likely to cause a disincentive to work. Of course, this higher means-testing is absolutely possible with welfare payments as well, but if one considers it, bringing up the realm of means-testing higher essentially turns welfare programs into a Guaranteed Minimum Income with much more bureaucracy and unnecessary complication (see Figure 1) that only serves to extend the government’s reach into the beneficiaries of such programs.

Speaking of bureaucracy, a GMI would be more efficient, with much less complication and administrative overhead. For those with a business mindset especially, the welfare system is a logistical *nightmare*, spanning what Andrew Flowers describes as “an indecipherable alphabet soup of programs”. Matt Zwolinski, a prominent libertarian advocate for a basic income program in the United States, sees basic income as a powerful method for streamlining the efficiency of social assistance, cutting bureaucracy, and simplifying the legislature (Flowers). This is supported by the fact that across the US’s $1 trillion annual spendings on welfare programs (Ways and Means Committee), roughly 6.8% of that is put towards administrative costs (Greenstein), totaling an annual 50-70 billion dollars on administrative overhead alone; nearly 3 times as greater than NASA’s budget for the 2021 fiscal year (“NASA's FY”). A Guaranteed Minimum Income could be handled at the federal level through the Earned Income Tax Credit (EITC)or the IRS, and incentives could be handled simply by divisions of state legislature and city councils, leading to virtually zero added administrative overhead. This is important because a lack of overhead maximizes the amount of effective-aid-per-dollar spent we are able to give,

allowing for more money to actually reach the pockets of citizens and ensure program scaling that remains independent of the organizations that oversee it.

Opponents of basic income assert that it would be easy to take advantage of, and will lead to people being irresponsible and dependent, which isn't entirely untrue. In fact, almost all proponents of a basic income agree that the possibility of people dropping out of the workforce is a necessary evil in order to maintain the simplicity of the concept and a lack of government overextension into our personal lives. Martin Ford concedes that "[o]ne of the greatest political and psychological barriers to the implementation of a guaranteed income would be simple acceptance of the fact that some fraction of recipients will inevitably take the money and drop out of the workforce," (268), this is by no means unique to basic income. The main conservative argument against our current welfare system is exactly the same as this argument. This issue is not an isolated policy problem, it reflects a basic consequence of human nature and a simple fact of life. Some people are going to take advantage of you if you try to help them, but that is by no means any reasonable excuse to stop helping people; compassion is inherently an exploitable virtue, but is nonetheless our most important one. Basic income is designed to help more people, more efficiently, and with bigger impacts, but it is founded on the idea that you must have faith that people can govern themselves without having their lives held against them. Personally, I know faith in people is difficult, God almighty do I know faith in people is difficult, but the Arc of History that has pointed us towards justice and the betterment of humanity was turned and continues to be turned in the direction of justice by people who refuse to let the horribleness of the world and of people stop them from making a world a better place, even if it means great sacrifice. The struggle of the implementation of a basic income program has just as much to do

with the philosophical struggle with the Absurd and the rejection of a universal pessimism as it does economics or politics.

In addition to its obvious benefits, an added auxiliary benefit of a GMI would be the provision of an easy platform through which state and local governments can incentivize unemployed constituents to stay productive and further public good. Volunteer work in community service and environmental maintenance programs are important and undersupported, and could be registered with city councils to increase basic income for participants, increasing the productivity of service programs and the unemployed population. Incentivizing community and environmental service would turn volunteer work into minor supplemental income sources for the unemployed, and get more people to enjoy the many inherent benefits of community service, such as the formation of relationships and tighter social circles, improving the bonds of the community, boosting self-confidence and reducing depression, maintaining physical fitness, and providing career experience and résumé building opportunities, not to mention the cleaner public spaces, healthier wildlife, and more enjoyable cities. (Western Connecticut State University). These are benefits a

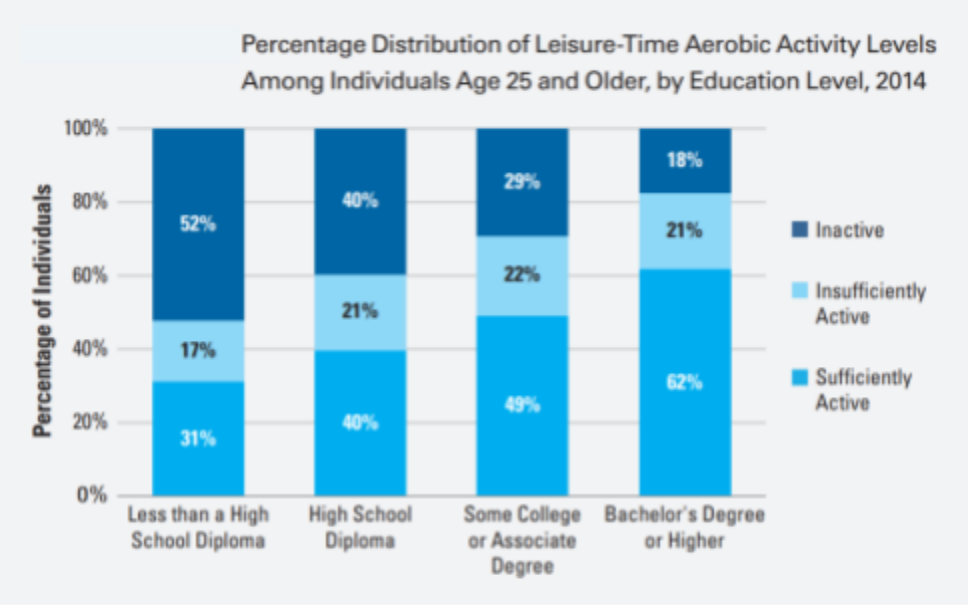


Figure 2: More educated individuals consistently exercise more. Image courtesy of Jennifer Ma, et al (37).

large majority of the population is not able to take advantage of due to a lack of time or incentive, but as AI is mounting to fix the time problem, a GMI could fix the incentive problem as well. If an unemployed population was given monetary encouragement to participate in community service, then individuals might be more inclined to do so, and programs would experience higher participation.

Another area that may see decreased participation in the future is high school and higher education. Even currently, prospects for non-high school graduates are dropping rapidly, and that struggling students who know that they will get a basic income whether or not they graduate may drop out. In order to maintain an educated populace, Martin Ford asserts that a higher GMI could be paid to those with a high school diploma or equivalent certification to make sure students have a clear and definite incentive to continue school (Ford 263). Completion of high school and higher education leads to a more educated populace from which society benefits, but automation threatens to significantly reduce the monetary incentives for completion. This could be solved by artificially re-introducing these incentives back at the state level through the GMI. In the article "The Non-Monetary Benefits of Education" published in the European Journal of Education, Dr. Luis E. Vila explains that more educated citizens foster more inclusive social groups, experience lower income inequality (27), raise healthier children with better cognitive development, and enjoy more productive and enlightened use of leisure time (25). Furthermore, Vila reports that more educated people have healthier habits, leading to better longevity (24).

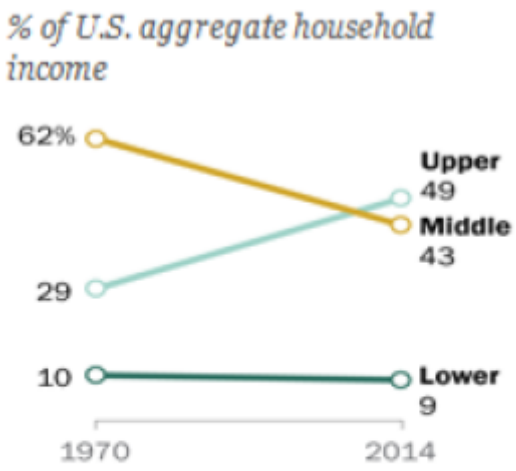
In addition to compensation of high school graduation, I assert that completion of at least two years of higher education in some capacity, either in college or university or technical school or maybe even apprenticeship, should also be met with at least some extra compensation, as research shows that those who complete higher education experience and create more personal

and societal benefits than those who do not. For example, Jennifer Ma, et al. report that 24% more of those who complete at least a bachelor's degree reported exercising vigorously at least once a week when compared to high school graduates, and voted at nearly 250% the rate of high school graduates (4), which all point to the fact that higher education correlates to the betterment of societal good.

Astute readers would be right to counter that giving the government power to create incentives opens up the possibility for the creation of what Martin Ford reports his opposition calling a "nanny state" (264). It is for this exact reason, however, that the qualifiers "with city councils" and "at the state level" were included in my previous arguments. According to the Head of Government of Buenos Aires, Argentina Horacio Rodríguez Larreta, "Being near is a way [...] of creating spaces for civic participation and engagement with other public institutions and civil society," which is important because, "policies [that] include citizens in some stage of their inception are likely to be implemented more efficiently and swiftly," (Rodríguez Larreta). In essence, power delegated to local governments is more directly controlled and responsive to its constituents. This is further evidenced through the sweeping effects on local governments that resulted from the recent 2020 BLM and anti-police protests, like in Austin, Texas, whose city council voted unanimously to reorganize $150 million in funding away from the police department and towards social services (Venkataramanan), a victory for the protestors which would be otherwise be impossible at any level of government other than local. All of these facts serve to show that local governments are simply more responsive to their constituents and therefore less likely to be able to intrude severely into their personal lives without receiving effective pushback. The risk for a so-called nanny state could be further reduced by explicitly denying any government the privilege to reduce basic income as punishment for any other reason

than active criminal incarceration, which would safeguard against governments using reductions to threaten its citizens .

Finally, the last and most subtle way in which a GMI could revolutionize society for the better would be its effect on the national class structure and its balance of power. The working class in the United States is experiencing a loss in national power, which has led to an increasing subjugation by the ruling class, and if left unchecked is set to accelerate further at a terrifying pace due to automation. According to the Pew Research center, the aggregate wealth share of the middle-class has been steadily falling, down 20% from 1970, and that wealth has been handed over to the upper class, which is up 20% over the same period of time (PEW). This is an important tidbit because it corresponds well to the fact that beginning in 1973, wages in the United States stopped corresponding to increases in productivity; before 1973, productivity (the average amount of wealth generated in the country per laborer) and average wages corresponded almost exactly, but since, wages have increased at only 17% the rate of productivity increase (EPI). Wages in our economic system are determined by bargaining between the employee and the employer, and who has the less favorable position in any bargaining situation is based on who is more desperate, and therefore has more to risk by pushing their luck. With the stagnation of wages, and especially for those who have graduated after the 2008 recession (Marketplace), workers are *desperate*. The 2008 recession saw the devastation of full-time jobs, which only just



The US Middle Class continuing to hemorrhage wealth. Image courtesy of the Pew Research Center

recovered in late January of 2021, and are still less than half of what they used to be (Roose The Sharing Economy). All of these factors have led to a dying working class; the symptoms of a system in which increases in economic prosperity is not felt by the very constituents who work to maintain it.

A GMI could solve this, as a powerful tool to increase the scarcity of labor, decrease working class desperation, and keep wealth within the soon-to-be chronic jobless working class population. Basic income would allow people to survive without having to work, giving the laborer significantly more freedom in choosing where and when to work, therefore increasing the scarcity of labor and driving the bargaining power of the worker up immensely. This would allow for the working class to regain their power over the economy and increase the standard of living for the average citizen. It would also allow for an upward acceleration of the bargaining power of the worker, like making it safer for workers to attempt to organize into labor unions. According to Gallup, 65% of Americans support labor unions and rising, yet the Bureau of Labor Statistics reports union membership is steadily falling. Dr. Tula Connell cites "how much the deck is stacked against workers who want to organize" as the reason for this. A poignant example of the deck stacked against workers who want to organize was displayed in Amazon's leaked 30 minute 2018 anti-union propaganda video, which was mandatory viewing for all employees, in which it recommends reporting coworkers who so much as talk about wanting to earn a livable wage to their supervisors (Whole Worker). If the risk of simply trying to survive were removed from the equation, workers would feel much more comfortable in trying to organize for better working conditions. All of these things would serve to democratize the economy, and help circulate prosperity down to the working class families and social circles experiencing severe unemployment.

Furthermore, a GMI would allow for an increase in entrepreneurialism among the working class, opening the possibility for true democratization of the economy via the formation of cooperatives, which could stop the possibility of "techno feudalism" and help keep wealth within the working class. Just as a safety net established by a GMI could empower workers in private firms to unionize, that same principle can be applied to the area of entrepreneurship as well. Martin Ford explains this concept through the frame of the Peltzman Effect. The Peltzman Effect refers to the social observation that when the safety of a certain activity is increased, people will take that as an excuse to take riskier behavior to compensate. This mainly stems from the fact people have a pretty static risk/reward system that bases risk as a ratio to safety and not as an independent concept in terms of absolute values. It has been used as an effective libertarian argument against government regulation, but it is also a strong argument for a basic income, as if citizens have a strong safety net, they will be more inclined to take economic risks, start businesses, and invest in start-ups (Ford 267). This would make economic risks a greater possibility for everyone, not just the rich people who have their risks insured by their family's estate, allowing for more businesses established by working class families, which would provide more avenues for self-contained circulation of wealth; not from working class to ruling class and back through wages, but from working class to working class through economic activity.

This truly free-market approach to solving wealth inequality and maintenance of a strong working class could be realized through the worker cooperative. The growth of co-ops could be encouraged greatly through basic income, which would ensure a democratic non-exploitative, and non-redistributive provision of wealth among the working peoples. . Karen Kahn writing for Fifty by Fifty explains the benefits of co-ops by writing, "workers share in the profits of their workplaces. Payments in 2017 ranged from $700 to nearly $2 million, shared among the

collective membership. The median payout was $33,697." The significance of this cannot be understated: profits in co-ops are distributed directly to its workers. This is a significant paradigm shift from classical firms, where profits are consolidated and controlled by the capital holder[s] and in which profits are naturally consolidated to the ruling class. This would not only ensure that workers will no longer be exploited and enjoy the full value of their own labor, which relieves poverty in it of itself, but it would also mean that the value created by non-human labor in an automated future would be enjoyed by everyone, not just the relatively few of those with the capital to invest in it. In summary, we can fix the problem of wealth inequality not by manually redistributing wealth from capital holders, but by engineering a system in which *everyone* is a capital holder. A shift to a system where profits are spent by and kept within the working class would almost guarantee a stable flow of income to working class families, meaning that a smaller population of employed members in a family could afford to provide for a larger number of unemployed dependents. All of thishis would also cut off the possibility of a future in which almost all capital is concentrated in the ruling class, creating what Martin Ford and others describe as "techno feudalism" (266). It's salient to stress, however, that the growth of cooperatives and the attainment of the aforementioned benefits are dependent on an entrepreneurial working class. Upper class citizens and capital holders have everything to lose in a growing co-op market, so it must be up to the working class to grow the market in their own interest, which comes with a lot of risks. Basic income, as described earlier, has the power to cover some of that risk, giving the people the autonomy they need to accomplish goals like these.

One contrary foundational opinion held by many modern neo-conservatives, like Amy Finlay of Edinburgh IFA (Hedreen), to the argument described earlier is the inference that safety nets reduce entrepreneurship, and that putting people in sink or swim situations is the foundation

of an entrepreneurial society. I would counter, however, that this 'Fiscal-Darwanist' outlook on society is not only unfounded but entirely immoral. From the objective vantage, as discussed earlier, it is a widely known social principle that humans' fundamental psychological system for determining willingness to take risks is *not* based on absolute risk factor, but instead determined as a proportionality to absolute safety. A GMI and other social safety nets are designed for the sole purpose of increasing absolute safety, therefore simple human psychology dictates that when implemented correctly, social programs raise the amount of absolute risk people are willing to take, which will help push more regular people from the working class population above the extremely high absolute risk threshold that exists in entrepreneurship. Additionally, a study conducted by Abhijit Banerjee, et al. notes that while such programs do have statistically measurable negative effects on work in developed countries, the measurable difference they did find was very slight (2). Furthermore, from the moral vantage, subscription to this Fiscal-Darwinist ideology paints an absolutely abysmal outlook on the state of ourselves as a society. If a society provides chances of success so slim, rewards so impoverished, risks so astonishing, that the only way to foster entrepreneurship and productive motivation is to hold its own constituents lives against themselves, then that exhibits symptoms of a far greater ailment of the fundamental economic and social structures that a society is built upon, not whatever policy is built overtop of it.

While our society is rapidly approaching a new age of social and economic turbulence the likes of which we've never seen before, it can be argued that these 'issues' are only issues when viewed through the narrow lens of contemporary American policy. Across history, there have been numerous 'golden ages' of progress, demarcated by an interest in art and curiosity as a

public good, where those who have the desire can participate in the definingly human activity of art for art's sake and knowledge for knowledge's sake regardless of monetary goals. By revolutionizing our social safety net, incentivizing public service and education, and expanding the agency of the average citizen through the Guaranteed Minimum Income, we have the chance to enter a new golden age; a second enlightenment. The rise of joblessness due to automation is a chance for us as a society to rise out of our collective teenage years as a species. No longer will every person on Earth have to be bound to a duty of growing the economy or securing resources, we will, to quote contemporary philosopher Exurb1a: "be free-range humans at last."

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